



SUPPLIER, CONTRACTOR AND PROCUREMENT MANAGEMENT PROCEDURE

Supplier, Contractor and Procurement Management Procedure



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1. PURPOSE

This procedure establishes how Seagull Maritime identifies, evaluates, approves, and monitors suppliers, contractors, and subcontractors to ensure they meet the organisation's quality, health and safety, security, and ethical requirements. It consolidates the processes for supplier identification, supplier approval, subcontractor approval, and supplier corrective action into a single integrated procedure.

This procedure addresses ISO 45001:2018 Clause 8.1.4 (Procurement), ISO 9001:2015 Clause 8.4 (Control of Externally Provided Processes, Products and Services), and ISO 18788:2015 Clause A.4.3.1 (Supplier Evaluation). It supersedes SM/PRO/SA/001 (Supplier Approval), SM/PRO/SI/001 (Supplier Identification), and SM/PRO/SUB/001 (Subcontractor Approval).

2. SCOPE

This procedure applies to all suppliers of goods and services to Seagull Maritime and all subcontractors engaged to perform work on behalf of the organisation, across all entities:

- Seagull Maritime FZCO (Dubai)
- Seagull Maritime Malta
- Seagull Maritime Nigeria
- Seagull Maritime UK
- Seagull Offshore

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2.1 Exclusions

The following are excluded from this procedure:

- Security Escort Vessel (SEV) providers and individual SEV approvals — these are managed under SM/SEC/PRO/004 (SEV Approval Procedure) and SM/SEC/PRO/005 (Supplier Approval — SEV Providers), which contain sector-specific evaluation criteria aligned to OCIMF, BMP-MS, and Shell requirements.
- Privately Contracted Armed Security Personnel (PCASP) — all PCASP are engaged on employment contracts and are recruited and managed under SM/INT/PRO/008 (PCASP Recruitment and Screening) and SM/INT/PRO/007 (PCASP Induction and Deployment). PCASP are employees, not subcontractors, and are not subject to this procedure.

3. REFERENCES

- SM/INT/POL/002 — Code of Conduct
- SM/INT/POL/001 — Anti-Bribery, Corruption and Business Ethics Policy
- SM/INT/POL/012 — Sanctions Policy
- SM/SEC/POL/002 — Human Rights Policy
- SM/INT/POL/006 — Data Protection Policy
- SM/INT/POL/007 — Risk Management Policy
- SM/HSE/POL/001 — Occupational Health and Safety Policy
- SM/INT/PRO/001 — Non-Conformance, OFI and Corrective Action Management
- SM/INT/PRO/013 — Management of Change Procedure
- SM/SEC/PRO/004 — Security Escort Vessel Approval Procedure
- SM/SEC/PRO/005 — Supplier Approval — SEV Providers
- SM/INT/REG/010 — Supplier and Subcontractor Register
- SM/INT/FORM/004 — Supplier Approval Form
- SM/INT/FORM/005 — Supplier Corrective Action Report (SCAR) Form
- ISO 45001:2018 Clause 8.1.4
- ISO 9001:2015 Clause 8.4
- ISO 18788:2015 Clause A.4.3.1

4. DEFINITIONS

- Supplier — Any external organisation that provides goods, products, or services to Seagull Maritime.
- Regular Supplier — A supplier with whom Seagull Maritime has an established commercial relationship, including credit facilities or recurring purchase arrangements.
- Critical Supplier — A supplier whose goods or services are vital to the maintenance of operational capability. Disruption to a critical supplier would directly affect the ability to deliver operations.
- Ad Hoc Supplier — A supplier used on an occasional or one-off basis for a specific requirement. Examples include major online retailers where a formal supplier review would be impractical, and their status is recognised accordingly.
- Subcontractor — An individual engaged on a fixed-term or task-specific contract to perform work on behalf of Seagull Maritime where the role does not require a permanent employment contract and/or requires specialist skills not available from the existing workforce. Seagull Maritime does not routinely engage subcontractors; this section applies only where such an engagement is necessary.

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- SCAR — Supplier Corrective Action Report. A formal record raised when a supplier or subcontractor fails to meet required standards, triggering investigation and corrective action.

5. ROLES AND RESPONSIBILITIES

5.1 Group Compliance Director

Overall accountability for the integrity of the supplier and subcontractor management process. Responsible for:

- Final review and approval of supplier evaluations and rating recommendations
- Approval or rejection of supplier approval status changes
- Oversight of SCAR investigations and closure
- Ensuring supplier management is included in management review inputs

5.2 QHSE Manager / Designated Person

The day-to-day administration of the supplier evaluation process is carried out by the QHSE Manager, Compliance Administrator, or other person designated by the Group Compliance Director. This role is responsible for:

- Issuing the Supplier Approval Form (SM/INT/FORM/004) to suppliers
- Receiving completed forms and transferring supplier responses to the internal Supplier Approval Checklist
- Evaluating supplier responses in conjunction with the relevant department manager
- Maintaining the Supplier and Subcontractor Register (SM/INT/REG/010)
- Raising SCARs when performance issues are identified
- Tracking SCAR actions to closure

5.3 Department Managers

Managers of each business function are responsible for identifying supplier requirements within their area, participating in supplier evaluations where their technical knowledge is required, and reporting supplier performance issues to the designated person.

5.4 Human Resources

Responsible for the administrative management of subcontractor engagements, including role specification, advertising, interview coordination, contract issuance, and maintenance of subcontractor documentation files.

6. SUPPLIER IDENTIFICATION AND SELECTION

6.1 Identification of Requirements

Supplier requirements are identified by the relevant department based on operational need. The principal categories of supply for Seagull Maritime include:

- Vessel-based armouries and floating armoury services
- Agents (port agents, country agents, travel agents)
- Manpower provision (shore-based recruitment agencies)
- Communication facilities and equipment

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- Office facilities and infrastructure
- IT infrastructure, software, and technology services
- Personal protective equipment (PPE) and safety equipment
- Insurance and professional services
- Training providers

Security Escort Vessels are excluded from this procedure and managed under SM/SEC/PRO/004 and SM/SEC/PRO/005.

6.2 Sourcing and Selection Criteria

When identifying potential suppliers, the following criteria are considered:

- The supplier's technical expertise and proven experience in providing the required goods or services
- Reputation in the market and sound business ethics
- Financial stability and operational continuity
- Cost effectiveness balanced against quality of service
- Responsiveness and reliability of supply
- Relevant ISO certifications or equivalent management system compliance
- OH&S competence and safety record — including evidence of health and safety management processes, incident history, and ability to meet Seagull Maritime's OH&S requirements
- Willingness to comply with Seagull Maritime's ethical commitments (see Section 10)

Where Seagull Maritime has identified a specific requirement for the supplier to maintain a management system — whether quality, security, OH&S, or other — this can be satisfied by either holding accredited ISO certification to the relevant standard, or by having their existing processes reviewed and accepted by the Group Compliance Director.

6.3 Experienced Supplier Fast-Track

Given the accumulated experience of Seagull Maritime staff in the maritime security industry, established suppliers known from previous roles and companies may be fast-tracked onto the Approved Supplier List subject to a pre-approval review by the Group Compliance Director. This does not exempt the supplier from completing the due diligence questionnaire — it accelerates the initial approval to allow operations to proceed while the formal evaluation is completed.

7. SUPPLIER EVALUATION AND DUE DILIGENCE

7.1 Due Diligence Questionnaire

All Regular and Critical Suppliers must complete the Supplier Approval Form (SM/INT/FORM/004) prior to formal approval. The questionnaire records:

- Key company information and corporate registration details
- Contact details of senior management and primary point of contact
- Details of any ISO certifications or relevant accreditations
- Health and safety management details, including recent incidents and safety records

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- Details of insurances held relevant to the services provided, including third-party liability
- Overview of management processes and procedures applicable to their operations
- Confirmation of ethical commitments (see Section 10)

7.2 Dual-Format Evaluation Process

Seagull Maritime operates a dual-format process for supplier evaluation to ensure both ease of completion for the supplier and consistency of internal records:

- The Supplier Approval Form (SM/INT/FORM/004) is issued to the supplier as a Word document. The supplier completes and returns the form in Word format. This ensures ease of use and avoids formatting corruption.
- On receipt of the completed form, the designated person transfers the supplier's responses into the internal Supplier Approval Checklist (SM/INT/FORM/004 — Excel format). The checklist mirrors the Word form but includes dropdown fields, compliance scoring, and traffic-light status indicators.
- The act of transferring responses from the Word form to the Excel checklist constitutes the initial review — the designated person is required to read and evaluate each response during the transfer, not simply copy text.
- The completed Excel checklist is the controlled internal record. The original Word form returned by the supplier is retained as supporting evidence.

The designated person evaluates the supplier's responses in conjunction with the relevant department manager and, where required, requests additional information or documentation. The designated person then submits the completed checklist to the Group Compliance Director with a rating recommendation.

7.3 Evaluation of OH&S Competence

In accordance with ISO 45001:2018 Clause 8.1.4, Seagull Maritime evaluates the OH&S competence and capability of suppliers and contractors whose goods or services could affect OH&S performance. This evaluation considers:

- Evidence of health and safety management systems, policies, or procedures
- Safety performance data, including incident and injury records
- Relevant industry certifications (e.g. ISO 45001, ISM Code compliance)
- Ability to meet Seagull Maritime's specific OH&S requirements for the goods or services being provided
- Training and competence records for personnel who will work on Seagull Maritime sites or vessels

The level of OH&S evaluation applied is proportionate to the risk associated with the goods or services. A supplier of office stationery does not require the same level of scrutiny as a supplier providing safety-critical equipment or personnel working in operational environments.

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8. APPROVAL RATING SYSTEM

8.1 Rating Criteria

All evaluated suppliers are assigned a rating based on the outcome of due diligence and ongoing performance:

- Rating A — Well-known supplier with a history of good service and compliance. No active or recent SCARs. Maintains relevant ISO certifications or equivalent management system processes applicable to the services provided.
- Rating B — Satisfactory supplier with no known issues with service or compliance. The supplier may not hold ISO certifications but has demonstrated compliance with Seagull Maritime's requirements during evaluation. No active or recent SCARs.
- Rating C — Unsatisfactory supplier with documented poor service and/or compliance. Typically has recent SCARs, does not hold relevant certifications, and does not operate processes sufficient to comply with Seagull Maritime's requirements.

8.2 Approval Statuses

Prior to purchasing goods or services, suppliers must be listed on the Supplier and Subcontractor Register (SM/INT/REG/010) with one of the following statuses:

- Pending — Supplier has been added to the register; the due diligence questionnaire has been sent, received, or is under review.
- Approved (Temp) — Further information is required, but temporary approval has been granted to allow use in the interim period.
- Approved — Formal evaluation is complete and approval has been granted. Basis of current approval is recorded.
- Under Review — A non-conformity, issue, complaint, or incident has occurred that impacts service delivery. The supplier is being reviewed via a SCAR (see Section 12).
- Withdrawn — Following a SCAR outcome, persistent poor performance, or management decision, approval has been withdrawn. Important: a supplier may retain "Withdrawn" status but remain in use temporarily where they are a Critical Supplier and no replacement is yet available. This must be managed in line with SM/INT/POL/007 (Risk Management Policy) and authorised by the GCD or CEO.

8.3 Basis of Current Approval

Every approval status requires a documented basis:

- Evaluated — Due diligence completed, no issues identified.
- Previous Supplier — DD Pending — Known to the company from prior engagements with no issues; formal evaluation incomplete.
- Existing Supplier — DD Pending — Currently supplying with no issues; formal evaluation incomplete.
- Critical Supplier — DD Pending — Company relies on the product or service; formal evaluation incomplete. This may also apply to suppliers with "Withdrawn" status where no alternative is available.
- SCAR in Progress — Supplier is currently under review following a corrective action report.
- Poor Service/Quality — Reason for withdrawal; details are recorded in the relevant SCAR or NCR.

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9. SUBCONTRACTOR MANAGEMENT

Seagull Maritime does not routinely engage subcontractors. The organisation's operational and shore-based roles are fulfilled by employees on permanent or fixed-term employment contracts. This section applies only where a specific requirement arises for specialist skills or short-term expertise that cannot be sourced from the existing workforce and does not warrant a permanent employment contract.

9.1 Exclusion — PCASP

Privately Contracted Armed Security Personnel (PCASP) are not subcontractors. All PCASP engaged by Seagull Maritime are issued employment contracts and are recruited, screened, and managed under SM/INT/PRO/008 (PCASP Recruitment and Screening) and SM/INT/PRO/007 (PCASP Induction and Deployment). PCASP are not subject to any part of this section.

9.2 Engagement Process

Where a subcontractor requirement is identified:

- Human Resources, in conjunction with the relevant department manager, creates a role specification listing the required training, certifications, skills, payment terms, and details of the role and responsibilities.
- The role is advertised to known contractors and through relevant recruitment channels.
- Applications are reviewed by Human Resources for qualifications, certifications, and relevant experience.
- Shortlisted candidates are interviewed by Human Resources and referred to the relevant department manager for a second interview and technical assessment.
- Successful applicants are issued a specific contract for the role and added to the Supplier and Subcontractor Register (SM/INT/REG/010).
- Unsuccessful applicants who demonstrate suitable capability may be recommended for addition to the approved list for future opportunities.

9.3 Subcontractor Rating

Subcontractors are rated using the same A/B/C system as suppliers (Section 8.1), based on performance, service quality, and compliance with Seagull Maritime requirements.

9.4 Subcontractor Rights and Obligations

Subcontractors are granted the same rights as permanent staff under the company Equal Opportunities Policy and Human Rights Policy (SM/SEC/POL/002). Subcontractors are required to undergo appropriate management system and policy awareness training and agree to abide by the policies and procedures of Seagull Maritime at all times.

10. SUPPLIER AND SUBCONTRACTOR COMMITMENTS

All suppliers and subcontractors, regardless of category, must formally acknowledge and agree to comply with the following Seagull Maritime policies as a condition of approval. These commitments are non-negotiable — failure to agree to, or abide by, any of these

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commitments will result in the supplier or subcontractor not being approved or having their approval withdrawn.

- SM/INT/POL/002 — Code of Conduct
- SM/INT/POL/001 — Anti-Bribery, Corruption and Business Ethics Policy
- SM/INT/POL/012 — Sanctions Policy
- SM/SEC/POL/002 — Human Rights Policy
- SM/INT/POL/006 — Data Protection Policy
- The Voluntary Principles on Security and Human Rights (VPSHR)
- The International Code of Conduct for Private Security Service Providers (ICoC)
- The Montreux Document on Private Military and Security Companies

Acknowledgement of these commitments is captured as part of the Supplier Approval Form (SM/INT/FORM/004). Existing suppliers who were approved prior to the introduction of this procedure are required to provide their acknowledgement at the next scheduled annual review.

Seagull Maritime reserves the right to audit suppliers and subcontractors against these commitments at any time. Evidence of non-compliance will result in immediate review of approval status.

11. PERFORMANCE MONITORING

Supplier and subcontractor performance is monitored on an ongoing basis through:

- Operational feedback from personnel and department managers
- Client feedback reports and complaints relating to supplier performance
- Incident and accident data involving supplier goods, services, or personnel
- Audit findings and compliance assessment results
- Financial stability and operational continuity assessment
- Timeliness and quality of goods and services delivered

All Regular and Critical Suppliers are subject to formal review at least annually, or sooner if:

- A significant non-conformance is raised that generates a SCAR
- There is a significant change in legislation or company requirements that impacts the supplier
- There is a material change in the supplier's ownership, management, or operational capability

Supplier performance is included as an input to the management review process (SM/INT/PRO/019).

12. SUPPLIER CORRECTIVE ACTION REPORTS (SCAR)

12.1 When to Raise a SCAR

A SCAR is raised when a supplier or subcontractor:

- Fails to deliver goods or services to the agreed specification, quality, or timeframe
- Is involved in, or contributes to, a health and safety incident or near miss

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- Breaches any of the commitments set out in Section 10
- Fails to maintain required certifications, insurances, or documentation
- Receives a substantiated complaint from a client or operational personnel
- Fails to comply with contractual or regulatory requirements

12.2 SCAR Process

The SCAR process follows these steps:

- The designated person raises the SCAR using SM/INT/FORM/005, documenting the non-conformance, the evidence, and the immediate impact.
- The SCAR is issued to the supplier with a clear description of the issue and a request for root cause investigation and corrective action plan.
- The supplier is given a defined timeframe to respond — typically 14 calendar days for non-critical issues, 7 calendar days for issues affecting health, safety, or operational capability.
- The designated person reviews the supplier's response and corrective action plan. Where the response is inadequate, the SCAR is escalated to the Group Compliance Director.
- The supplier implements the agreed corrective actions and provides evidence of implementation.
- The designated person verifies implementation and, where satisfied, closes the SCAR.
- Where the supplier fails to respond, fails to implement corrective actions, or the corrective actions are ineffective, the SCAR is escalated and the supplier's approval status is reviewed (see Section 13).

12.3 SCAR Records

All SCARs are recorded in the Supplier and Subcontractor Register (SM/INT/REG/010) against the relevant supplier entry. Where the SCAR relates to a matter that also constitutes a non-conformance under the management system, a corresponding entry is raised in SM/INT/REG/004 (NCR/OFI/CAPA Register) and managed in accordance with SM/INT/PRO/001.

13. WITHDRAWAL OF APPROVAL

Supplier or subcontractor approval may be withdrawn for any of the following reasons:

- Failure to adequately address SCAR findings within the agreed timeframe
- Persistent or recurring poor service, quality, or compliance
- A management decision to change suppliers
- Loss of required certifications, insurances, or licences
- Failure to maintain or provide required documentation
- Breach of the ethical commitments set out in Section 10
- For subcontractors: failure to maintain required certifications and personal documentation for the contracted role

Withdrawal of approval is authorised by the Group Compliance Director. The decision, rationale, and any transitional arrangements are recorded in SM/INT/REG/010. Where a withdrawn supplier is a Critical Supplier and no immediate replacement is available,

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transitional use may be authorised by the GCD or CEO and managed in accordance with SM/INT/POL/007 (Risk Management Policy).

14. OH&S REQUIREMENTS IN PROCUREMENT

In accordance with ISO 45001:2018 Clause 8.1.4, Seagull Maritime ensures that procurement of goods and services does not compromise the health and safety of workers. The following controls apply:

14.1 Procurement of Goods

Goods procured for use in operations or offices that could affect worker health and safety — including personal protective equipment, safety equipment, communications equipment, medical supplies, and hazardous materials — must meet applicable safety standards and specifications. The procuring department is responsible for verifying that goods meet the required standard before deployment or use.

14.2 Contractor Personnel on Seagull Maritime Sites

Where contractor or subcontractor personnel are required to work on Seagull Maritime premises, vessels, or operational sites:

- They must receive an appropriate health and safety induction or briefing before commencing work
- They must comply with all applicable Seagull Maritime health and safety procedures and site rules
- They must use appropriate PPE as required by the work environment
- They must report all incidents, near misses, and hazards in accordance with Seagull Maritime reporting procedures
- They are subject to the same right-to-stop-work provisions as Seagull Maritime employees where there is an imminent risk to health and safety

14.3 Outsourced Processes

Where Seagull Maritime outsources any process that could affect OH&S performance — such as vessel maintenance, equipment servicing, or specialist operational support — the organisation ensures that the outsourced process remains within the control of the management system. This is achieved through contractual requirements, supplier evaluation, performance monitoring, and the SCAR process defined in this procedure.

15. RECORDS

The following records are generated and maintained in accordance with SM/INT/PRO/005 (Control of Records):

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- SM/INT/REG/010 — Supplier and Subcontractor Register (all supplier and subcontractor records, approval statuses, ratings, and SCAR history)
- SM/INT/FORM/004 — Completed Supplier Approval Forms (due diligence questionnaires and evaluation records)
- SM/INT/FORM/005 — Supplier Corrective Action Reports
- Subcontractor contract documentation, role specifications, and personal files
- Supplier audit reports and compliance assessment records

All supplier and subcontractor records are retained for a minimum of five years from the date of last engagement or approval withdrawal.

16. REVIEW

This procedure is reviewed annually or following a significant change to the organisation's supplier base, operational requirements, or regulatory obligations. Reviews are conducted by the Group Compliance Director and approved by the CEO.

Changes to this procedure are managed through SM/INT/PRO/013 (Management of Change Procedure).